Money, Banking, and Financial Markets

Lecture Assessment

Source material: Lecture 1 (Why Study Money, Banking, and Financial Markets?), Lecture 2 (What is Money?), and Lecture 3 (Payment Systems, Measuring Money, and the Economics of Cryptocurrencies)

QUESTION 1

The financial system is primarily a means by which

a. the government puts into operation its plans for the economy.
b. borrowers can use savers' funds until the savers themselves need the funds. ✓
c. business firms distribute their goods.
d. money is put into circulation.

Correct answer: b. borrowers can use savers' funds until the savers themselves need the funds.

Rationale: *Lecture 1 explicitly states that financial markets perform the essential economic function of channeling funds from entities with surplus funds (savers) to those with a shortage of funds (borrowers).*

QUESTION 2

Which of the following is NOT a financial instrument?

a. Wachovia Bank ✓
b. a certificate of deposit
c. a bond issued by Google
d. A home mortgage loan

Correct answer: a. Wachovia Bank

Rationale: *Lecture 1 categorizes banks as "financial institutions" (intermediaries), which are structurally distinct from financial instruments (the actual contracts, claims, or assets being traded, such as bonds, mortgages, or CDs).*

QUESTION 3

As a store of value, money

a. cannot be a durable asset.
b. does not earn interest.
c. must be currency.
d. is a way of saving for future purchase. ✓

Correct answer: d. is a way of saving for future purchase.

Rationale: *Lecture 2 defines the "store of value" function of money specifically as a way of saving purchasing power for future transactions.*

QUESTION 4

When we say that money is a stock variable, we mean that

a. the quantity of money is measured at a given point in time. ✓

b. money never loses purchasing power.

c. it is sold in the equity market.

d. we must attach a time period to the measure.

Correct answer: a. the quantity of money is measured at a given point in time.

Rationale: *Lecture 2 defines a stock variable as a quantity measured at a specific point in time, contrasting it with a flow variable (like income), which is measured over a period of time.*

QUESTION 5

The conversion of a barter economy to one that uses money

a. increases efficiency by reducing transactions costs. ✓

b. does not increase economic efficiency.

c. increases efficiency by reducing the need to exchange goods and services.

d. increases efficiency by reducing the need to specialize.

Correct answer: a. increases efficiency by reducing transactions costs.

Rationale: *Lecture 2 explains that money solves the "double coincidence of wants" problem inherent in barter systems, thereby drastically reducing the time and effort (transaction costs) required to trade.*

QUESTION 6

Which of the following is a true statement?

a. Money or the money supply is defined as Federal Reserve notes.

b. The aggregate price level is measured as the rate of change in the inflation rate.

c. The average price of goods and services in an economy is called the aggregate price level. ✓

d. The inflation rate is measured as the rate of change in the federal government budget deficit.

Correct answer: c. The average price of goods and services in an economy is called the aggregate price level.

Rationale: *Lecture 1 provides this exact definition, distinguishing the aggregate price level from the inflation rate (which is the rate of change in the aggregate price level).*

QUESTION 7

Financial markets have the basic function of

a. assuring that governments need never resort to printing money.

b. assuring that the swings in the business cycle are less pronounced.

c. providing a risk-free repository of spending power.

d. getting people with funds to lend together with people who want to borrow funds. ✓

Correct answer: d. getting people with funds to lend together with people who want to borrow funds.

Rationale: *Lecture 1 states that the fundamental purpose of financial markets is to channel funds from savers (those with funds to lend) to borrowers (those who want to borrow funds).*

QUESTION 8

Which of the following is NOT a key financial service provided by the financial system?

a. Profitability ✓
b. Liquidity
c. Information
d. Risk sharing

Correct answer: a. Profitability

Rationale: *Lectures 1 and 2 outline that the financial system structurally provides risk sharing, liquidity, and information services (reducing information asymmetry). Profitability is an individual investor's goal, not a systemic service provided by the financial architecture.*

QUESTION 9

By "specialization" economists mean a situation where

a. individuals produce the goods or services for which they have relatively the best ability. ✓
b. individuals who produce goods do not also produce services and individuals who produce services do not also produce goods.
c. individuals are assigned to occupations on the basis of tests that gauge their relative abilities.
d. goods are traded directly for goods and money is not used.

Correct answer: a. individuals produce the goods or services for which they have relatively the best ability.

Rationale: *Lecture 2 defines specialization as individuals focusing their productive efforts on goods or services where they hold a comparative advantage or best ability.*

QUESTION 10

When an economy relies on specialization,

a. each individual in the economy produces the goods or services for which he or she has relatively the best ability. ✓
b. each individual will be assigned by the government to produce that good or service the government believes the economy should specialize in.
c. the economy will generally produce only one product.
d. the economy will usually be heavily agricultural.

Correct answer: a. each individual in the economy produces the goods or services for which he or she has relatively the best ability.

Rationale: *This directly applies the lecture's definition of specialization to the broader economy, highlighting the division of labor.*

QUESTION 11

Barter is

a. another name for money.
b. the main system of exchange in the United States today.
c. the basis for economic specialization.
d. an exchange of goods and services directly for goods and services. ✓

Correct answer: d. an exchange of goods and services directly for goods and services.

Rationale: *Lecture 2 defines barter as the direct exchange of goods and services without the use of a medium of exchange (money).*

QUESTION 12

Which of the following is an example of a barter transaction?

a. An individual pays her electric bill with currency.
b. An individual deposits three twenty-dollar bills in her checking account.
c. An individual pays her electric bill with a check.
d. An individual provides three light bulbs to her neighbor in exchange for two gallons of milk. ✓

Correct answer: d. An individual provides three light bulbs to her neighbor in exchange for two gallons of milk.

Rationale: *This is a direct exchange of goods for goods. Options A, B, and C all involve the use of money or monetary instruments (currency, checks).*

QUESTION 13

A system of barter has substantial transactions costs because

a. the uncertainties of trade result in high legal fees being incurred to draw up binding contracts.
b. traders must spend considerable time searching for trading partners. ✓
c. the uncertainties of trade result in high insurance premiums.
d. taxes under such a system are generally a large fraction of the value of output.

Correct answer: b. traders must spend considerable time searching for trading partners.

Rationale: *Lecture 2 highlights the "double coincidence of wants" problem, meaning traders must spend significant time and effort finding someone who both has what they want and wants what they have.*

QUESTION 14

How many prices would there be in a barter economy with 10 goods?

a. 50
b. 10
c. 100
d. 45 ✓

Correct answer: d. 45

Rationale: *Lecture 2 provides the formula for the number of relative prices in a barter economy: N(N–1)/2. For 10 goods, this is 10(9)/2 = 45.*

QUESTION 15

Money is a medium of exchange in that

a. money is generally accepted for buying and selling goods and services. ✓
b. other assets may be better or worse in facilitating exchange than money.
c. currency may be exchanged for gold at any national bank.
d. it must maintain most of its value over time.

Correct answer: a. money is generally accepted for buying and selling goods and services.

Rationale: *Lecture 2 defines the medium of exchange function of money precisely as its general acceptance in payment for goods and services.*

QUESTION 16

When economists refer to the role of money as a unit of account, they mean that

a. money gives traders a way of measuring value in the economy. ✓
b. most accounting systems reflect that goods are purchased with currency.
c. most accounting systems reflect that goods are purchased with checks.
d. money makes it possible for specialization to take place.

Correct answer: a. money gives traders a way of measuring value in the economy.

Rationale: *Lecture 2 defines the unit of account function as providing a single, consistent standard for measuring and comparing the value of different goods and services.*

QUESTION 17

The attribute that distinguishes money from other assets is that only money

a. may be used as collateral for a bank loan.
b. retains its value during times of inflation.
c. is counted in determining the size of an individual's wealth.
d. serves as a medium of exchange. ✓

Correct answer: d. serves as a medium of exchange.

Rationale: *Lecture 2 emphasizes that while many assets (like stocks or real estate) can serve as a store of value or component of wealth, only an asset that functions as a medium of exchange is classified as money.*

QUESTION 18

Wealth is

a. the sum of the value of assets minus value of liabilities. ✓
b. a flow variable.
c. equal to income.
d. the sum of the value of assets.

Correct answer: a. the sum of the value of assets minus value of liabilities.

Rationale: *Lecture 2 defines wealth (or net worth) as a stock variable representing the total value of all assets owned minus the total value of all liabilities owed.*

QUESTION 19

The difference between money and income is that whereas income is an individual's

a. stock of currency and currency substitutes, money is an individual's stock of all assets.
b. flow of earnings over a period of time, money is an individual's stock of currency and currency substitutes. ✓
c. flow of earnings over a period of time, money is an individual's stock of all assets.
d. stock of all assets, money is an individual's stock of currency and currency substitutes.

Correct answer: b. flow of earnings over a period of time, money is an individual's stock of currency and currency substitutes.

Rationale: *Lecture 2 explicitly distinguishes income as a flow variable (measured over a period) and money as a stock variable (currency and checkable deposits held at a point in time).*

QUESTION 20

In comparing money to shares of General Motors stock, we can say that

a. money is a store of value, but shares of General Motors stock are not.
b. neither money nor shares of General Motors stock are stores of value.
c. both money and shares of General Motors stock are stores of value. ✓
d. shares of General Motors stock are a store of value, but money is not.

Correct answer: c. both money and shares of General Motors stock are stores of value.

Rationale: *Lecture 2 notes that while only money serves as a medium of exchange, many financial assets, including corporate stocks, can effectively function as a store of value.*

QUESTION 21

A system in which definitive money is authorized by a central bank or governmental body as legal tender is known as:

a. Gold standard system
b. Barter system
c. Commodity money system
d. Fiat money system ✓

Correct answer: d. Fiat money system

Rationale: *Lecture 2 defines fiat money as currency that has no intrinsic value and is not convertible into precious metals, but is declared legal tender by government decree.*

QUESTION 22

Which of the following is NOT a characteristic of commodity money as discussed in the lecture?

a. Easily standardized

b. Exclusively digital ✓

c. Valuable

d. Divisible

Correct answer: b. Exclusively digital

Rationale: *Lecture 2 describes commodity money as physical objects with intrinsic value (e.g., gold, silver, salt) that are durable, divisible, scarce, and easily standardized. It is inherently physical, not digital.*

QUESTION 23

What are checks primarily defined as in the payments system?

a. Electronic funds transfer systems

b. Promises to pay definitive money on demand drawn on money deposited with a financial institution ✓

c. Stored-value cards

d. Fiat money authorized by the government

Correct answer: b. Promises to pay definitive money on demand drawn on money deposited with a financial institution

Rationale: *Lecture 3 defines checks as written instruments that serve as promises to pay definitive money on demand, drawn against funds held in a depository institution.*

QUESTION 24

Which type of blockchain is open to anyone and fosters decentralized participation (e.g., Bitcoin, Ethereum)?

a. Private Blockchain

b. Institutional Blockchain

c. Public Blockchain ✓

d. Consortium Blockchain

Correct answer: c. Public Blockchain

Rationale: *Lecture 3 describes public blockchains as open, permissionless networks that allow anyone to join, validate transactions, and participate, fostering true decentralization.*

QUESTION 25

Which of the following assets is included in M1?

a. Currency in circulation and demand deposits ✓

b. Institutional money market mutual fund shares

c. Small-denomination time deposits

d. Savings deposits

Correct answer: a. Currency in circulation and demand deposits

Rationale: *Lecture 3 defines M1 as the narrowest measure of the money supply, consisting primarily of the most liquid assets: currency in circulation and checkable (demand) deposits.*

QUESTION 26

Fiat money is paper money decreed by governments as legal tender that does not have to be converted into a precious metal.

a. True ✓

b. False

Correct answer: a. True

Rationale: *Lecture 2 explicitly defines fiat money as government-decreed legal tender that lacks intrinsic value and is not required to be convertible into coins or precious metals.*

QUESTION 27

Tokens such as Ethereum primarily function as a simple medium of exchange, whereas coins like Bitcoin are used exclusively for smart contracts.

a. True

b. False ✓

Correct answer: b. False

Rationale: *Lecture 3 states the exact opposite: Bitcoin was primarily designed as a decentralized medium of exchange and store of value, while Ethereum is a programmable blockchain platform specifically designed to enable smart contracts and decentralized applications.*

QUESTION 28

Cryptocurrency markets generally exhibit significantly higher price volatility compared to traditional financial markets.

a. True ✓

b. False

Correct answer: a. True

Rationale: *Lecture 3 notes that cryptocurrency markets are characterized by significantly higher price volatility than traditional markets due to factors like speculative trading, evolving regulatory landscapes, and relative market inefficiencies.*

QUESTION 29

Although e-money offers convenience, the electronic payment system has not completely replaced paper money due to concerns over security, privacy, and transaction costs.

a. True ✓

b. False

Correct answer: a. True

Rationale: *Lecture 3 explains that despite the speed and convenience of e-money, paper currency persists because of valid concerns regarding security (fraud/hacking), privacy (traceability of digital transactions), and the transaction costs of establishing electronic infrastructure.*

QUESTION 30

M2 is a broader measure of the money supply than M1 and includes accounts that many households treat as short-term investments.

a. True ✓

b. False

Correct answer: a. True

Rationale: *Lecture 3 defines M2 as a broader measure than M1, encompassing M1 plus less liquid assets like savings deposits, small-denomination time deposits, and retail money market funds, which households often treat as short-term investments.*

Final Answer Key

Q#	Answer	Q#	Answer	Q#	Answer	Q#	Answer
1	**b**	9	**a**	17	**d**	25	**a**
2	**a**	10	**a**	18	**a**	26	**True**
3	**d**	11	**d**	19	**b**	27	**False**
4	**a**	12	**d**	20	**c**	28	**True**
5	**a**	13	**b**	21	**d**	29	**True**
6	**c**	14	**d**	22	**b**	30	**True**
7	**d**	15	**a**	23	**b**		
8	**a**	16	**a**	24	**c**		